Entero Healthcare Solutions Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

One of India's three largest distributors of medicines and healthcare products. It buys from over 3,200 manufacturers and supplies about 92,000 pharmacies and 2,900 hospitals from 100-plus warehouses, growing both on its own and by buying regional distributors. Lately it has pushed into medical devices and diagnostics (MedTech), which earn better margins.

Number	Value	What it means
Market cap	Rs 8,733 cr	What the market says the whole company is worth.
Q2 FY27 revenue (consolidated)	Rs 2,087 cr	Sales for the quarter to Sep 2026, up 32.9%; about 18% of that was organic.
Q2 FY27 EBITDA margin	5.3%	Operating profit per Rs 100 of sales. Thin, as distribution always is, but up from about 2.8% in FY24.
Q2 FY27 profit	Rs 61 cr (Rs 46 cr to owners)	Up 66%; about a quarter goes to minority partners in acquired firms.
Return on capital	ROCE 22%	Much improved; a sign the acquisitions are paying.
Stock P/E	254x (standalone)	Screener shows the tiny standalone company (about Rs 100 cr a quarter of sales); on group profit the multiple is far lower, but still rich.

2. Concall coverage

Quarter	Date	Transcript read?
Q4 FY24	30 May 2024	Yes
Q1 FY25	16 Aug 2024	Yes
Q2 FY25	13 Nov 2024	Yes
Q3 FY25	13 Feb 2025	Yes
Q4 FY25	28 May 2025	Yes
Q1 FY26	11 Aug 2025	Yes
Q2 FY26	13 Nov 2025	Yes
Q3 FY26	13 Feb 2026	Yes
Q4 FY26	26 May 2026	Yes
Q1 FY27	10 Aug 2026	Yes
Q2 FY27	Nov 2026	Yes, latest call read in full ★ (concall.in AI transcript)

Every quarterly call since the Feb 2024 listing, about two and a half years. The newest transcript on Screener is an AI-generated copy from concall.in, so a few speaker labels are muddled; the numbers in it match the company's own results.

Latest concall highlights: Q2 FY27 (Nov 2026)

- Revenue Rs 2,087 cr (+32.9%), organic growth 18-20%, the rest from last year's deals. Gross margin 11.5%, EBITDA margin 5.3%, both records.
- Management says FY27 will beat its guidance (23% growth without new deals, 5% EBITDA margin, half of EBITDA turned into cash) but gave no new number.
- A Rs 12 cr provision for a big pharmacy customer default at a subsidiary hit this quarter.
- H1 operating cash flow was negative Rs 46.5 cr, blamed on about Rs 55 cr of Maharashtra government payments delayed by drought, received in November.

- No acquisitions in H1, but one or more over Rs 100 cr of sales may close this year. MedTech is about 15% of revenue and will cross Rs 1,000 cr this year.

Business mix & capacity

Domestic vs export: Entirely domestic: an India-only distribution business. Government contracts are about 3% of sales; MedTech about 15%.

Capacity use: Not applicable as a factory measure. Network: 100-plus warehouses in about 500 districts; net working capital 64 days (61 adjusted).

3. Earning Trigger thesis

Entero's trigger is scale plus mix: buying fragmented local distributors, then lifting their margins through better buying, more value-added services and a growing MedTech share. It shows clearly in the numbers: EBITDA margin has gone from under 3% to over 5% in two years while revenue kept growing at about 30%. The open questions are cash conversion and the cost of all those acquisitions (minority partners, deferred payments).

Trigger	What management said	Evidence so far	Time horizon	Strength
Margin expansion	5% EBITDA for FY27	5.0% in Q1, 5.3% in Q2	Now	Strong: hit ahead of time
Organic growth	1.5-2x the pharma market	18-20% vs market about 14-15%	Ongoing	Strong
MedTech	Rs 1,000 cr+ in FY27	About 15% of sales; on track	FY27	Moderate
Cash conversion	50% of EBITDA to operating cash	H1 negative; one-off delay claimed	FY27	Weak: not yet shown

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Repayments of acquisition debt start Q3, but cash goes to deals first
New business	Yes	MedTech now about 15% of revenue and set to cross Rs 1,000 cr this year (Nov 2026)
Margin up	Yes	"EBITDA margin expanded 135 basis points to 5.3%" (Nov 2026)
New management	No	
New capacity	No	
Big orders	No	
Turnaround	No	
Promoter buying	No	

The single concrete driver: Margins rising from better buying, exiting low-margin accounts and a growing MedTech share, on top of about 18-20% organic growth.

3c. Margin bridge

EBITDA margin is 5.3% against 3.95% a year ago. Scale-led procurement, more higher-margin MedTech and a deliberate exit from low-margin accounts drove it, despite a one-off Rs 12 cr bad-debt provision. Management calls it the base to build on (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2024	FY25 revenue growth 35-40%, EBITDA margin up 100 bps	Growth 30%; margin up about 52 bps	Missed
Aug 2025	Acquisitions closed by August	Pushed to November	Partly

Period	What was promised	What actually happened	Verdict
May-Aug 2025	FY26: 30% growth, 4% EBITDA margin, about Rs 100 cr operating cash	31.5% growth, 4.0% margin, Rs 96 cr cash	Delivered
Nov 2025	MedTech above Rs 1,000 cr after deals	About 15% of sales; on track	Too-early
May 2026	FY27 5% EBITDA margin	5.3% in Q2	Delivered
May 2026	FY27 50% EBITDA to cash	H1 negative	Too-early

Narrative drift: The core story (consolidate, then lift margins) hasn't changed since listing. After over-promising in FY25, guidance got more modest and FY26 was met on all three counts. The new habit of declining to update guidance while saying it will be beaten is fine, but cash flow and acquisition costs still need watching.

5. Bottom line

Durable earning trigger? → YES

A named, measurable driver that is already in the results: margin up two points in two years on fast growth, with organic growth well ahead of the market.

Management consistent? → YES

FY25 guidance was missed, but FY26 targets were all met and FY27's margin goal landed in the first quarter. Cash conversion is the one promise still to prove.

6. Checkpoints for next quarter

- EBITDA margin holds at 5% or better
- Operating cash flow turns positive for the full year as promised
- Any new acquisition is margin accretive and funded within the 2x debt cap

This is not investment advice. Do your own due diligence.